



TECHNICAL ANALYSIS IS ABOUT CUTTING DOWN NOISES

Technical analysis in a pure sense is about cutting down noise and focusing on pure price and volume data. Analysts often try to combine 'What' with 'Why'. This means if they see a certain trend in price and volume data for an asset, instead of purely focusing on 'What' the trend is, the mind starts to ponder on 'Why' it is the trend. There may or may not be an answer to this every time.

All the pondering and overthinking is certainly a recipe for disaster in this field. Technical analysis is about cutting down noises and purely focusing on price and volume data and factors influencing it directly. It is the ability to call oranges, 'oranges' without letting the brain over-think. Technical analysis is mentally very consuming and can easily lead to overthinking and mistakes.